

2056 — And Not a Day Sooner

A book, chapter by chapter. Chapter 2: Housing

Why do we need houses? Because — but apparently not so clear. If it were, surely everyone would live in one? But they don't. "So what?" is a truly cynical reply. And to the cynic we can reply that poor housing, inadequate housing, is a primary driver of poor health and education outcomes. Fix the housing shortage and some of the health burden reduces automatically. You can't treat people effectively and send them back to cold damp houses. You can't teach the syllabus to pupils who are chronically absent with illness. Such shortfalls are inhumane, but for those who count the cost, they are also economically expensive.

Let us count the cost. Recent research finds that up to 900,000 New Zealand homes remain unhealthy, with low-income renters most at riskⁱ. The annual health costs included more than 39,000 hospital nights (\$141 million), and almost 230 deaths with costs to society of around \$1 billion. Building more houses now would add to the current Kainga Ora costs, but the health improvements will be much slower to arrive and in any case, would not show up as Kainga Ora credits.

So, providing more houses will cost the budget now, and the health and education improvements won't show up for years, maybe decades, but they will be real, nonetheless. This is another case of delayed and uncredited outcomes, but it will not be the last. [REVISIT Ch 1 delayed and uncredited outcomes is the theme]

But more important than the money cost is the cost in human suffering, in wasted human potential, and, perhaps worst, in the proven cost in criminal and other anti-social behaviour. Many of our politicians stand for parliament on a platform of 'tough on crime' without disclosing — whether from ignorance or convenience — that almost always their focus is only on band-aids, such as harsher sentences and more prisons, for the symptoms. The actual causes of criminal behaviour are complex, but housing inadequacy appears, along with other reduced living conditions, as a significant factor in most recent studies. A year in prison costs us over \$200,000 per person; home detention, under \$45,000 per yearⁱⁱ. However, this option is only available to those who have homes already, and they are less likely to offend. Housing is the key.

Do we have enough housing? For those with money? For those without? Do we now? Did we ever?

No, No, No, No and Yes.

Yes? Oh, when? Certainly there was sufficient in 1769 when James Cook and Joseph Banks described how Maori all lived in substantial, well-made weatherproof family Kainga.ⁱⁱⁱ Now, however, Maori make up a disproportionate share of those on the waitlist.

Our housing shortage began with colonial settlement. Many early settlers started their time here living in tents. Everything since has been a degree of catch-up. Many with money were able to build for rent. There was little thought for standards, and at the start of the twentieth century Dunedin had slums "unfit for human habitation" and inner-city Wellington had many houses that were "damp, dilapidated and infested with vermin"^{iv}. No doubt there were other similar areas.

By 1919 the government knew that 14.9% were living in overcrowded conditions^v but ten years later it had made only 1,500 prefab railway houses. The great depression made cheaper labour available and with a change of government, state houses were being built at 57 per week^{vi} and the backlog had been reduced to 10,000 when the war halted building. It resumed in 1944 when 10,000 homes per year were built in complete suburbs including schools and shopping centres^{vii}. That in a country of 1.7 million, compared with the current annual target of 1,500 new Kainga Ora homes, offset by demolitions ... and sales of around 900 homes per year so the number of KO social houses will not reduce over time^{viii}. In other words - no additional housing, regardless of the backlog.

And still we have 19,704 approved applicants for whom there are no places^{ix}, to say nothing of the numbers who have given up waiting or are also in unsuitable shelter. Kāinga Ora owns or manages around 75,000 properties^x, but it needs over 90,000.

And for those not on the list? The market is, as ever, responding to demand, and builds and consents for those with money, are increasing^{xi}. But for the waitlist, and the others of the 100,000 (2023 Census)^{xii} who are suffering "severe housing deprivation", what is being done?

We spend money, but not on increasing homes for those who need help. The Housing and Community Development expenditure in 2024/25 was \$4.507 billion. Accommodation Assistance in the same period was \$2.203 billion, and Kainga Ora spent \$3.202 billion with a revenue of \$2.586 billion (if the \$630 million 'shortfall' represents rent subsidies, that should be required for a department charged with housing those who cannot afford market rent). But despite the expenditure, the supply is decreasing.^{xiii} Kainga Ora is also leasing privately owned properties to add to the supply, at market rates and sub-letting to those in need at the appropriate Kainga Ora rental scale.^{xiv} This strategy, where such properties are available, avoids the delays and costs of building but adds to the regular outgoings.

However, money alone is not enough. And why not? Zoning, Building Codes and Trades shortage.

Zoning reform: what it costs (almost nothing) and who opposed it and why.

What is zoning? Who administers it? What is its nominal purpose (and its real one)?

New Zealand is divided into sixty-seven councils, each of which is required under the Resource Management Act 1991 to have its own district plan, which describes how the whole council area, divided into zones, is to be used and administered. Each zone has a general category with detailed rules, which may differ from council to council, about what can be built, and subject to what limitations. Zones are generally categorised as: Residential; Commercial; Industrial; Conservation; and various other special categories, usually of much smaller areas, for parks, cemeteries, prisons, schools, railways, ports, sewage and quite a number of similar uses.^{xv}

The district plans for the various councils differ, even for the same zone type, such as Residential — Apartment Buildings. This means that a given plan for an apartment building on identical sites may be approved by one council but rejected by another, due to different site coverage rules — one council permitting 40% coverage, the other only 35%. Yes, that sort of disparity is common, indeed it is the rule rather than the exception.

The ostensible purpose of the district plan is to provide an orderly specification for the way all the land within the council is to be managed: sustainably, provided with necessary infrastructure, avoiding incompatible use, and supporting community wellbeing. But in practice the councils, being elected as representatives of the community, tend, not unreasonably, to adopt rules that favour

the preferred lifestyles of the more-influential of the current residents. Among the consequences are rules that seriously impede adding to the housing stock despite a severe shortage of homes for the growing population. The resulting shortage leads to prices being bid up and those new homes that are built are then out of the financial reach of the young families who need them. Higher density then is needed, near schools, shops, transport and employment. But councils have long resisted making suitable changes to their plans. Central government has for decades recognised this problem and has implemented bipartisan legislation^{xvi} to effect the required changes and are slowly, but unevenly, achieving suitable alteration to many plans.^{xvii} Some councils are finding their ability to make those changes is blocked by a large group of recalcitrant owners of classic homes and who don't want to see the character of their districts suffer change. To dilute such influences, perhaps, central government now intends to bring councils into amalgamations, in which such groups of homeowners will have much less sway.^{xviii}

So, zoning, historically, had been manipulated to preserve lifestyles that could be considered privileged, by handicapping the use of the land to house people where they needed to be housed. But that is now being progressively addressed and higher density housing is springing up in sufficient quantity — for those with money. And though sites for supported housing now might be approved, they are not being built. Not yet. By 2056? Probably.

The Building Code: how does it protect, but how obstruct?

The councils of New Zealand as well as deciding what may be built and where, are each charged to act as a Building Consent Authority to ensure that the plans and construction of every new building within their area adhere to the national Building Code. The code is a single body of standards set by the Ministry of Business, Innovation and Employment. The Building Act requires each of the sixty-seven local councils to inspect and approve the plans and the resulting building for compliance with the code^{xix}. This ensures that each resulting building is stable, protects its occupants from fire, is easy and safe of access even for the disabled, is water and moisture proof, keeps its users safe, provides the proper services and facilities such as power and plumbing, and has insulation and other features that confer energy efficiency^{xx}.

This is an excellent aim, but it has led to houses costing 50% more to build than in Australia,^{xxi} apparently due to problems in the consent system.^{xxii}

These problems arise from the increasingly wide range of building technologies, of the methods used to implement them and the requirements of the code, which all sixty-seven councils have to interpret and police. To support innovation "The Building Code states how a building must perform in its intended use rather than describing how the building must be designed and constructed. In other words, it is a performance-based Building Code."^{xxiii}

Now, for example: "*Buildings* shall be constructed to provide: (a) an *adequate*, controlled interior temperature,"^{xxiv} whereas previously "Every living room shall be fitted with a fireplace and chimney or other approved form of heating."^{xxv} No longer can the inspectors merely check that there is a fireplace that is on the approved list; now they must be qualified to consider any and all temperature control methods in the context of the size and structural materials of the spaces. The building may be a novel passive design using an indoor swimming pool as heat sink, with piping on the roof and buried water tubing as the heating and cooling sources. Will that system work to satisfy the code in all expected environment conditions? Much more expertise, and much more time. And worse still, more dependence on individual opinion and much more variation between councils.

Councils are liable if a fault in the design or construction slips through and leads to a building failure. The architects or builders made the mistake but dissolve their companies to avoid the penalties and under the current rules the council bears the total brunt.^{xxvi} Innovation is risky and errors are expensive, so the overloaded inspectors generally favour conservative designs; many still reject innovation and new, more efficient methods, and thus the lead times and costs of building in some areas continue to be internationally uncompetitive.

Designers of high density housing have risen to the challenge and have established a range of modern structural methods that have become widely accepted by councils. So the housing shortage is gradually being overcome.

But only for those with money. High density housing saves on land costs, but the structures are not cheap.

And so the shortage of subsidised housing continues.

The trades shortage: what is needed?

More tradespeople, 118,500 more (2022 estimate).^{xxvii} And an empowered Infrastructure Commission.

The shortage of qualified builders was severe until the recent shift to high-density building, which is much more efficient due to smaller footprints, standardised layouts, and designed for ease of construction. But as we discuss in Chapter 5, the existing workforce inevitably retire; the same numbers must be apprenticed — and they are not.^{xxviii} Reform of the apprenticeship system, properly funded and valued, is essential and will be discussed under education. It would be lovely to do everything at once, but we have to be practical.

There is no quick fix. Those being born today will be skilled tradespeople by 2056, if we start moving right now toward that goal.

Housing standards: are they good enough?

For new builds: constructed to code, yes. However, while we are still short almost 20,000 homes for those on the waitlist: no, they are not housed to standard.

Those on the waitlist are not in buildings fit for purpose, particularly the disabled. The United Nations Committee on Economic, Social and Cultural Rights defines adequate housing as that which has: secure tenure; affordability; habitability; infrastructure; accessibility; location and cultural adequacy.^{xxix} In summary: occupiers can't be tossed out; the cost is adjusted to their means; it's strong enough; has enough room, services and equipment; and is well placed to transport, schools, shops and whatever are the reasonable needs of the occupant, such as employment; and finally, is in a suitable social setting. But most of all — it must exist.

But in New Zealand it does not exist for almost 20,000. How do we compare?

International comparisons: what is possible and where has that worked?

Finland: In the country of 5 million, fewer than 4000 homeless, but the number has risen as 80,000 Ukrainian refugees have arrived^{xxx}. Properties are bought from the private market and let with significant financial support, to the homeless. A quarter of all new builds must be 'affordable' rented at 20% to 40% cheaper than the private market, with a waiting time generally less than six weeks.^{xxxi}

Austria: The population is 9.2 million. About 24% of housing is affordable, government backed or rent controlled.^{xxxii} Eligibility requirements for subsidised housing include a two-year residency, and current income below the qualification limit. There are also 'city-owned' flats and 'co-operative' flats for different needs and with different conditions^{xxxiii}.

Singapore: Population: 6.1 million. Rough sleepers: 496 at last count; why? Mainly very short term and due to disagreements with other members of the permanent household, not lack of housing.^{xxxiv} The majority (80%) own their own homes. The system is based on private ownership of 99-year leases of state-owned apartments, and the 'ownership' may be heavily subsidised.^{xxxv} Urgent needs are recognised and catered for.^{xxxvi}

Japan: Population: 125 million. Reported homeless: 2,820.^{xxxvii} Actual homeless: perhaps 100,000 to 200,000.^{xxxviii} Japan counts the visible rough sleepers. It does not count those sleeping in cafes or shelters. The number is not a true comparison, because of the weird definition. Notably: the Japanese homelessness (as usually defined) seems mostly to affect aged men.

So, we need houses, more houses.

The shortage goes back to the earliest European settlements. The handicaps of our zoning laws and building code administrations, are gradually being overcome; standards are being improved and as the stock improves, homes are becoming more affordable for middle New Zealand, but still out of the reach of too many. That shortfall is huge and will need significant financial support and more tradespeople. But it can be fixed, by 2056 if we are lucky — and single-minded.

Chapter 3 (Health) coming soon.

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